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Author

Jeewanthi, H A C, Hales, Robert, Lee, Ki-Hoon, Sarvaiya, Harsha

Published

2023

Conference Title

Changing Management Values and Practices for a Sustainable Future: 36th ANZAM Conference

Version

Accepted Manuscript (AM)

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3. Sustainability and social issues

Conceptualising the sustainability integration through the lens of strategic orientation: A multiple theory approach.

H A C Jeewanthi

Griffith Business School, Griffith University, Gold Coast, Australia

Email: chandimajeewanthi.hapuachchige@griffithuni.edu.au

Associate Professor Robert Hales

Griffith Business School, Griffith University, Gold Coast, Australia

Email: r.hales@griffith.edu.au

Professor Ki-Hoon Lee

Email: prof.kihoonlee@gmail.com

Dr Harsha Sarvaiya

Griffith Business School, Griffith University, Brisbane, Australia

Email: h.sarvaiya@griffith.edu.au

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ABSTRACT: *The literature has widely discussed sustainability integration within business organisations. However, mere integration may not support the companies to gain a higher level of sustainability performance outcomes. While stakeholders pressure the companies to integrate sustainability practices, organisations show different levels of integration and different performance effects. Hence, exploring managers' intention to integrate sustainability is timely. Consequently, this paper broadly conceptualises and extends the current understanding of the relationship between the stakeholder pressures for sustainability and the sustainability integration within the organisation and internal decision-making through sustainability orientation lens using two theories and a comprehensive strategic orientation taxonomy. Further, it emphasises the significance of strategic orientation for responding to broader stakeholders and integrating them within internal decision-making to contribute to long-term sustainable development.*

Keywords: Sustainability, Strategic orientation, Institutional theory, Sustainability control system

INTRODUCTION

Even though business organisations are critical for global development, some of their activities are criticised for creating social and environmental sustainability issues (Schaltegger, Lüdeke-Freund, & Hansen, 2016; Schaltegger & Wagner, 2011). However, long-term sustainable development cannot be achieved without the support of organisations (Slacik, Grub, & Greiling, 2022). Recently, sustainability has become a key topic in the organisational strategic agenda as well as a critical social issue that broader stakeholders increasingly pressure the companies to consider the environmental and social impacts of their business activities within the business organisation and internal decision-making (Corsi & Arru, 2020; Gond, Grubnic, Herzig, & Moon, 2012). While many companies now increasingly implementing sustainability practices within business organisations and decision-making, they demonstrate diverse levels of sustainability integration and sustainability performance outcomes (Dyllick & Muff, 2016; Gunarathne & Lee, 2019; Jabbour & Santos, 2006). Therefore, how sustainability integration can be expanded with effective approaches has not been well-explored yet. Therefore, this paper provides a literature review and a theoretical conceptualisation for answering the recent calls (Bastini, Getzin, & Lachmann, 2022; Ditillo & Lisi, 2016; Ghosh, Herzig, & Mangena, 2019) and to address the main

question of ‘what approaches can business organisations adopt to integrate sustainability to contribute to long-term sustainable development materially?’

Even though organisations implement diverse sustainability practices, all these practices cannot guarantee equal and higher levels of sustainability performance (Kuckertz & Wagner, 2010). Hence examining sustainability integration from managers’ strategic focus is warranted Ghosh et al. (2019). Despite few studies examining environmental sustainability integration, the social sustainability perspective is largely negligent (Gunarathne & Lee, 2019; Jabbour, 2010; Jabbour., Oliveira., & Soubihia., 2010). Thus, managers’ strategic intention seems crucial in effective and proper balance of social and environmental sustainability integration and contributing to long-term sustainable development. In literature, little is known about how sustainability practices are integrated into organisational practices and internal decision-making (i.e., sustainability control system) from a strategic orientation perspective (Bastini et al., 2022; Ditillo & Lisi, 2016; Dyllick & Muff, 2016; Ghosh et al., 2019; Gunarathne & Lee, 2019). Consequently, this paper has two objectives; (1) Discuss the recent literature and theoretical lenses appropriate to examine sustainability integration within organisational practices and internal decision-making, and (2) Propose an extended conceptualisation to examine stakeholders’ interests for sustainability within organisation and decision-making using crucial and limitedly explored perspective namely ‘strategic orientation’.

As such, this paper examines the role of strategic orientation as a determinant to embedding institutional interests in sustainability within the organisation, which in turn influence to implement sustainability control system (SCS). Consequently, the study adopts two theoretical lenses; institutional theory and sustainability control system theory (DiMaggio & Powell, 1983; Simons, 1995), to achieve study objectives. In literature, the studies to comprehensively investigate sustainability orientation as a strategic approach to bridge stakeholder expectations and sustainability integration by implementing SCS have yet to be fully recognised. Hence, the following literature review conceptualises the integration of stakeholder’s social and environmental sustainability interests within organisational practices and strategies from strategic orientation lens. Hence firstly, institutional theory (DiMaggio &

Powell, 1983) is discussed to explain external pressure for sustainability integration within organisational practices whereas SCS theory (Simons, 1995) is discussed to examine the adoption of SCS as an effective approach include stakeholders interests in sustainability integration within internal decision making (Dyllick & Muff, 2016; Schaltegger & Burritt, 2018; Windolph, Dorli, & Schaltegger, 2014a; Windolph, Schaltegger, & Herzig, 2014b). Adding to this, the current understanding of sustainability integration is extended with the adoption of strategic orientation perspective (Kuckertz & Wagner, 2010). Finally, a new conceptualisation is proposed to include broader stakeholder interest for sustainability within SCS through the lens of strategic orientation using a comprehensive orientation taxonomy (Azzone & Bertelè, 1994; Bui & de Villiers, 2017; Jabbour & Santos, 2006) for managing sustainability to make effectively contribute to long-term sustainable development.

LITERATURE REVIEW

Corporate social and environmental sustainability commitments have gained increasing attention from broader stakeholders worldwide, and they demand tangible sustainability performance outcomes with greater transparency (de Villiers, Low, & Samkin, 2014). Hence, integrating sustainability practices within organisational disclosures and business activities is inadequate unless they are used in everyday decision making and control (Corsi & Arru, 2020). Recent studies have started examining the integration of sustainability commitments within organisational practices and managerial decision-making (i.e., Sustainability control system) as a response to both internal and external pressures leading to gain sustainability performance outcomes (Corsi & Arru, 2020; Wijethilake & Ekanayake, 2018). Effective sustainability integration and management is the key to achieve sustainable development goals and other sustainability objectives (Bansal, 2005; Gond et al., 2012). Business organisations integrate sustainability mainly due to external transparency and internal performance management (Corsi & Arru, 2020; Lueg & Radlach, 2016). Despite many prior studies exploring how corporations respond to internal and external pressure for sustainability integration, the influence of different strategic intentions to integrate sustainability has not been fully recognised (Ditillo & Lisi, 2016; Ghosh et al., 2019). Therefore, this literature review proposes a novel conceptualisation to explore sustainability integration and extent its understanding through the lens of strategic orientation. Firstly, the broader stakeholder

pressure for sustainability integration is discussed through the lens of institutional theory (DiMaggio & Powell, 1983) as a more comprehensive and widely accepted behavioural theory.

Institutional theory

Nowadays, the early contribution of institutional theory by DiMaggio and Powell (1983) is widely accepted to examine management accounting (Scapens, 2012), sustainability management and organisational behaviour patterns (Wijethilake & Ekanayake, 2018; Windolph et al., 2014a). This theory outlines how businesses might increase their capacity to expand and endure in competitive contexts by gratifying a larger circle of stakeholders and social actors (Bansal, 2005; Beddewela & Fairbrass, 2016; de Villiers et al., 2014). According to institutional theory, organizations tend to become more similar due to external pressures from institutions called homogenization or “isomorphism” (DiMaggio & Powell, 1983). Hence, changes in organizational structure are mainly driven by bureaucratic processes and other forms of organizational transformation rather than solely by competition or the pursuit of efficiency (DiMaggio & Powell, 1983). There are three institutional isomorphism pressures: coercive, normative, and mimetic.

Coercive isomorphism for sustainability

Coercive isomorphism is a political pressure that appears as explicit regulative processes which lead to gaining social legitimacy by complying with the rules set to guarantee the companies’ integration of sustainability (DiMaggio & Powell, 1983). It directly influences organisational activities (Wijethilake & Ekanayake, 2018; Wijethilake & Appuhami, 2017), and organizations might interpret these pressures as coercive or even as an invitation to engage in collusion (Bansal, 2005; Gunarathne & Lee, 2019).

Normative isomorphism for sustainability

Normative pressure for sustainability stems from professional bodies and industry associations (Bansal, 2005) in the form of standards and values (Corsi & Arru, 2020). DiMaggio and Powell (1983) define it as “the collective struggle of members of an occupation to define the conditions and methods of their work, to control “the production of producers,” and to establish a cognitive base and legitimation for their occupational autonomy” (p. 152). Industry type seems to be a critical factor in determining sustainability practices (Bansal, 2005; DiMaggio & Powell, 1983) because they may introduce industry-

specific standards and practices that organisations in that industry are expected to comply with (Wijethilake & Ekanayake, 2018).

Mimetic isomorphism for sustainability

Mimetic pressure refers to organizations that seek to imitate others' practices to respond to uncertainty (DiMaggio & Powell, 1983). According to this isomorphism, organisations with ambiguous goals, poor technologies, unclear solutions or symbolically uncertain environments may model themselves on other organisations (DiMaggio & Powell, 1983). Thus, memetic pressure can use to operate an organisation that is acceptable by other similar organisations to face uncertain and unclear circumstances (Gunaratne & Lee, 2019; Wijethilake & Ekanayake, 2018).

Understanding institutional pressure for sustainability integration within organisations and internal decision-making (SCS).

The institutional theory explains how organisational fields can influence to embed of sustainability within organisations, such as in external reporting and business practices (Jabbour, 2010; Jabbour & Santos, 2006; Jabbour. et al., 2010) and internal decision-making (Corsi & Arru, 2020). While prior studies examined the influence of institutional theory directly on sustainability control system (Corsi & Arru, 2020; Wijethilake & Ekanayake, 2018), this conceptualisation paper adopts it to examine sustainability integration within organisational practices directly and sustainability control system indirectly, which can lead effective sustainability management.

Sustainability integration facilitates sustainability management, which involves the integration of business, environment, and society (Bansal, 2005; Dyllick & Muff, 2016; Windolph et al., 2014a). Sustainability management is an essential prerequisite for achieving development goals and long-term sustainable development of the economy, environment, and society (Bebbington & Larrinaga, 2014; Bebbington & Thomson, 2013; Dyllick & Muff, 2016; Montiel, 2008). Sustainability management is defined as “all activities which design, measure, analyse and improve environmental, social, and economic activities to create sustainable development of organisation itself firstly, and secondly to enable the company to contribute to the sustainable development of the society as a whole” (Schaltegger

& Burritt, 2018, p. 2). These activities can be identified as ‘practices’ or ‘strategies’ that are adopted to enable firms to shape business operations to act and react to internal and external pressure groups (Whittington, 2006; Wijethilake, Munir, & Appuhami, 2017) and to achieve sustainability objectives. Sustainability-oriented strategies effectively tackle possible environmental and social issues that impact sustainable development and a broader range of stakeholders (Bansal & Roth, 2000; González-Benito & González-Benito, 2006; Stead & Stead, 2008; Windolph et al., 2014a). They hold great importance in achieving SDGs from a business standpoint (Claro & Esteves, 2021; Dyllick & Muff, 2016). Hence, these practices need to be embedded not only within external reporting and organisational activities but also within internal decision-making and organisational strategies through sustainability control system (Beusch, Frisk, Rosén, & Dilla, 2022) to achieve sustainability objectives at the firm level (Dyllick & Muff, 2016).

Sustainability Control System and sustainability strategy integration

Sustainability control system (SCS) is an emerging management accounting and control approach (Crutzen, Zvezdov, & Schaltegger, 2017; Lueg & Radlach, 2016) that can facilitate the implementation of sustainability strategies and enhance sustainability performance leading to achieve long-term development and SDGs (Gond et al., 2012; Wijethilake, 2017). Since SCS is still emerging, the definitions, operationalisation, and performance effects of SCS are sporadic and fragmented (Crutzen et al., 2017; Lueg & Radlach, 2016). Hence, different authors define SCS in various ways. For instance, Johnstone (2019) defines SCS as “management accounting tools that connect by providing an information and direction, as well as monitoring and motivating employees to continually develop sustainable practices and procedures for future improved sustainability performance” (Johnstone, 2019, p. 34). Hence, it focuses on embedding internal interest in sustainability integration for sustainability performance management (Corsi & Arru, 2020). The sustainability integration within SCS can be better examined as a holistic approach using SCS theory (Bouten & Hoozee, 2016; Simons, 1995).

Sustainability (Management) control system theory

According to the system theory, more than one control is needed to promote integration and achieve better organisational performance (Bedford & Malmi, 2015; Simons, 2000). It emphasises that

management controls are a “set of systems of controls operated in an interdependent and complementary fashion” (Malmi & Brown, 2008; Otley & Berry, 1980; Simons, 1995). Simons (1995) Levers of Control (LoC) is the most popular framework to examine system approach, which includes a system of four interdependent levers: belief, boundary, interactive and diagnostic. It is the most suitable framework for this conceptualisation as it emphasises controls designed by managers that focuses on competitive and strategic aspects that can properly identify and compare SCS adoption among business organisations. The following section briefly describes the Levers of Control framework (Simons, 1995, 2000).

Levers of Control (LoC) framework

Simons (1995) Levers of Control framework consists of four broader control levers; belief, boundary, interactive and diagnostic that work together to improve the organisational performance (Beusch, Frisk, Rosen, & Dilla, 2022; Gond et al., 2012; Simons, 1995; Wijethilake et al., 2017; Wijethilake & Appuhamy, 2017). The belief lever deals with communicating organisational commitments towards sustainability via core values and formal documents such as mission and purpose statements (Gond et al., 2012). Boundary lever focuses on avoiding strategic risk and limiting employee opportunity seeking by using codes of conduct, sustainability policies and guidelines (Beusch, Frisk, Rosén, et al., 2022). The interactive lever includes the dialogues between bottom-up and top-down processes among top managers and subordinates (e.g. planning, meetings), and the diagnostic lever focuses on measuring performances (e.g. KPIs, performance measurement systems) (Beusch, Frisk, Rosen, et al., 2022; Simons, 1995; Wijethilake & Upadhaya, 2020).

Exploring the sustainability integration within SCS through the lens of strategic orientation

Albeit institutional fields exert pressures to integrate social and environmental sustainability within organisations (Corsi & Arru, 2020; Wijethilake & Ekanayake, 2018), managers can respond to these pressures in diverse ways depending on different strategic intentions or responses (Ditillo & Lisi, 2016; Wijethilake & Appuhami, 2017) and implement various sustainability practices even operated in similar environments (Bastini et al., 2022). Hence, external interests for sustainability integration within organisations and internal decision-making can vary based on organisational strategic orientation. Despite effective sustainability integration and management can generate tangible benefits while gaining

long-term SD (Dyllick & Muff, 2016; Windolph et al., 2014a), unfortunately, many companies still manage sustainability either for profit-seeking intention (Gao & Bansal, 2013) or legitimacy-seeking intention (Beddewela & Fairbrass, 2016) by merely reacting to societal pressures for sustainability (Bansal, 2005; Schaltegger & Burritt, 2018). However, corporate commitments to sustainability management interests of stakeholders should focus on reducing adverse social and environmental impacts and contributing to achieve SDGs and long-term development (Gond et al., 2012). Moreover, implementing mounting sustainability practices is not adequate for effectively managing sustainability unless they are adopted with truly sustainability-related intentions (Bansal, 2005; Collins, Roper, & Lawrence, 2010; Dyllick & Muff, 2016; Windolph et al., 2014a).

Hence, mere SCS implementation does not support achieving sustainability objectives unless linked with managers' strategic intentions (Ghosh et al., 2019; Windolph et al., 2014a). Therefore, examining SCS adoption without inquiring about managers' strategic orientation leads to lower and more sporadic sustainability performance outcomes (Ghosh et al., 2019). So far, scant attention has been given to examining the role of strategic orientation in implementing SCS (Bastini et al., 2022; Cavicchi, Oppi, & Vagnoni, 2022; Ditillo & Lisi, 2016). While Ditillo and Lisi (2016) attempted to examine the surface of managers' orientation by adopting reactive and proactive orientation perspectives to explain sustainability integration within SCS from the technical integration lens, the control mechanism for sustainability from the strategic orientation lens is yet to explore (Ditillo & Lisi, 2016; Ghosh et al., 2019). Even though strategic orientation can be identified as a critical determinant of sustainability integration within the organisation and SCS (Ditillo & Lisi, 2016) so far, studies on how institutional pressure affects shaping environmental and social sustainability practices indirectly within SCS depending on different orientations have been under-researched. Examining this relationship is crucial as it indirectly facilitates the inclusion of broader stakeholder expectations within internal decision-making and in achieving sustainability performance outcomes. Extending this understanding from strategic orientation is crucial as it provides a comprehensive examination of sustainability integration leading to determining and promoting effective orientations to adopt to make genuine sustainability performance outcomes.

Strategic Orientation

Strategic orientation is an emerging phenomenon (Azzone & Bertelè, 1994; Bastini et al., 2022; Bui & de Villiers, 2017; Ditillo & Lisi, 2016; Kuckertz & Wagner, 2010; Wood & Robertson, 1997). It represents managers' mental models, perceptions and interpretations that motivate them to implement and integrate social and environmental strategies (sustainability strategies) within organisations and internal systems (Basu & Palazzo, 2008; Bui & de Villiers, 2017; Carroll, 1979; Ditillo & Lisi, 2016; Kuckertz & Wagner, 2010). Sustainability orientation is defined as 'certain management attitudes, desires or perceptions that induce the planning and development processes for deciding future organisational direction' (O'Dwyer, 2003; Schaltegger & Burritt, 2018; Wood & Robertson, 1997). It conveys different managerial intentions or wills (or corporate orientations) for implementing sustainability practices (Schaltegger & Burritt, 2018). Consequently, strategic orientation can be considered as a key determinant of the current and future sustainability strategies that affect what firms do and will do in line with firms' direction and end goals (Bui & de Villiers, 2017; Wood & Robertson, 1997). Even though stakeholders pressure the companies to consider social and environmental sustainability within corporations equally, prior studies have focused more on investigating the influence of stakeholder pressure towards environmental management (Gunarathne & Lee, 2019; Jennings & Zandbergen, 1995). To date, the sole or mere focus on environmental or social sustainability is inadequate for effectively managing sustainability, having healthy relationships with broader stakeholders to obtain social licence to operate and gaining sustainable performance for bridging micro-level development and macro-level decline (Dyllick & Muff, 2016; UN, 2020; Voyer & van Leeuwen, 2019). Therefore, strategic intention is critical to include the sustainability expectations of broader stakeholders within organisations and internal decision-making (Bansal, 2005; Windolph et al., 2014a; Windolph et al., 2014b).

Albeit many sustainability management studies have adopted evolutionary taxonomies ranging from proactive to reactive sustainability strategic orientation (Hart, 1995; Jabbour & Santos, 2006; Jabbour. et al., 2010; Porter, 1980; Russo & Fouts, 1997; Stead & Stead, 2008), (Bastini et al., 2022; Ditillo & Lisi, 2016; Gunarathne & Lee, 2019; Jabbour. et al., 2010) this conceptual paper propose an

adapted version of a progressive taxonomy ranging from reactive to creative (reactive, preventive, proactive and creative) sustainability intentions (Azzone & Bertelè, 1994; Bui & de Villiers, 2017; Jabbour & Santos, 2006; Russo & Fouts, 1997; Schaltegger & Burritt, 2018).

While it is sufficiently comprehensive to capture a broad orientation range for better explaining the present level of competitive sustainability intention to integrate social and environmental sustainability strategies within organisational strategies and systems (Azzone & Bertelè, 1994; Bui & de Villiers, 2017; Jabbour et al., 2010), it shows different transitionary wills (choices) that managers' orientation can change the organisational direction from a lower level of sustainability management and integration to a very higher level (Azzone & Bertelè, 1994; Bui & de Villiers, 2017; Carroll, 1979; Jabbour et al., 2010). Finally, it is more suitable to address the limitations of prior classifications (Carroll, 1979; Jabbour & Santos, 2006; Jabbour et al., 2010; O'Dwyer, 2003; Wood & Robertson, 1997) and promote novel configurations and paths to consider companies' sustainability integration beyond proactive orientation to undertake more creative and innovative sustainability practices to address the urgent need of achieving micro and macro level development (Ghosh et al., 2019; UN, 2020). The proposed strategic orientation classification for the analysis purpose is illustrated below.

Creative strategic orientation

Creative orientation focuses on implementing creative strategies which search for adopting new environmental and social technologies rather than focusing on mere differentiation at the proactive stage. It involves a significant commitment of top managers and organisations (Azzone & Bertelè, 1994; Bui & de Villiers, 2017). It focuses on investing in technological advancements for improved environmental and social sustainability initiatives at both product and process innovations, which are critical dimensions for organisational change and development (Schaltegger & Burritt, 2018) (Azzone & Bertelè, 1994; Bui & de Villiers, 2017).

Proactive strategic orientation

Proactive orientation involves an active response in implementing social and environmental practices. It considers sustainability issues as opportunities/threats and includes them in the strategic mission (Azzone & Noci, 1998; Jabbour & Santos, 2006; Sharma, 2000). Therefore, social and environmental

issues affecting business have been intentionally selected and managed to enhance performance (O'Dwyer, 2003) and gain corporate economic well-being (Stead & Stead, 2008). It focuses on designing proactive strategies that gain competitive advantages in the external environment (Azzone & Bertelè, 1994; Jabbour & Santos, 2006).

Preventive strategic orientation

Preventative orientation is a beyond-compliance or compliance-plus orientation perception to integrate social and environmental strategies within business strategies and systems (Azzone & Bertelè, 1994; Bui & de Villiers, 2017; Jabbour & Santos, 2006; Jabbour. et al., 2010). (Roome, 1992). Managers' strategic choice at this stage tends to shift from mere adoption to prevention of environmental and social impact costs. However, it is a transitional orientation that does not intend to integrate sustainability strategies fully and systematically into the business model (Carroll, 1979; Jabbour & Santos, 2006; Jabbour. et al., 2010; Roome, 1992).

Reactive strategic orientation

Reactive orientation involves a passive response to social and environmental sustainability management (Jabbour & Santos, 2006). This approach is taken by managers to merely ensure compliance with laws and regulations applicable to the organisation (Azzone & Bertelè, 1994). Reactive managers design reactive strategies, which fail to gain competitive advantages as they merely respond to legislations rather than involve sustainability thinking and hence are generally associated with lower levels of sustainability management (Jabbour & Santos, 2006; Roome, 1992; Sharma & Vredenburg, 1998) as a coping or buffering strategy that minimally responds to regulatory and stakeholder demands (Azzone & Bertelè, 1994; Wood & Robertson, 1997).

Overall, a new conceptualisation is proposed to answer recent calls (Ghosh et al., 2019) and to (1) respond the integration of stakeholders' sustainability interests within organisations directly and internal systems (i.e., SCS) indirectly through the lens of strategic orientation leading to embed sustainability strategies within organisational strategies for achieving sustainability performance outcomes at the firm level and (2) promote the importance of strategic orientation for effectively

contributing long-term development (Bansal, 2005; Collins et al., 2010; Dyllick & Muff, 2016; Windolph et al., 2014a).

CONCLUSION

Despite business organisations extensively implementing sustainability management practices within the organisation and internal decision-making, the world is experiencing more sustainability issues than ever and showing slow progress towards achieving SDGs (Dyllick & Muff, 2016; UN, 2020). However, business organisations can play a crucial role in contributing long term development (Corsi & Arru, 2020; Crutzen et al., 2017; Dyllick & Muff, 2016; Gray, 2010). Since the mere implementation of many sustainability practices is not adequate to gain tangible sustainability performance outcomes, a new conceptualisation was warranted (Corsi & Arru, 2020; Ditillo & Lisi, 2016). Consequently, a new framing of effective sustainably integration approach has been proposed combining it with sustainability-related strategic intentions (Kuckertz & Wagner, 2010). Accordingly, an extension of the current understanding of sustainability integration is provided to contribute to long-term global development effectively (Crutzen et al., 2017; Slacik et al., 2022).

Thus, this literature review proposes a novel sustainability integration conceptualisation to explore and extend the current understanding of the existing corporate sustainability integration. In the new framing, external pressure for sustainability integration within organisation is examined directly using different forms of isomorphism. Next, SCS theory is used to examine how external institutional pressure for social and environmental sustainability practices has been indirectly embedded in internal decision-making. Simons (1995) Levers of Control framework is adopted to explore SCS as a system. Consequently, a novel conceptualisation is proposed to provides an extension to the current understanding of sustainability integration by adopting managers' strategic orientation as a critical factor to responds broader stakeholder's sustainability interests, and to implement various sustainability practices within organisation and embed them into organisational strategies (SCS) to effectively contributing to long-term sustainable development (Bansal, 2005; Collins et al., 2010; Ditillo & Lisi, 2016; Dyllick & Muff, 2016; Windolph et al., 2014a).

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